

25STCV32517 25STCV32517

County: los-angeles

Division: Civil Law and Motion

Department: 731

Hearing date: 2026-09-15

Motion: CROSS-DEFENDANTS GOLDEN RIGHTS LLC AND TAKASHI CHENG'S DEMURRER TO INCITE INC.'S FIRST AMENDED CROSSCOMPLAINT [CRS NO. 357473767619] [TENTATIVE] ORDER RE: CROSS-DEFENDANTS GOLDEN RIGHTS LLC AND TAKASHI CHENG'S MOTION TO STRIKE PUNITIVE DAMAGES FROM INCITE INC.'S FIRST AMENDED CROSS-COMPLAINT [CRS NO. 357473767619] [TENTATIVE] ORDER RE: CROSS-DEFENDANT AHEAD GROUP LLC'S DEMURRER TO INCITE'S FIRST AMENDED CROSS-COMPLAINT [CRS NO. 022641014542] [TENTATIVE] ORDER RE: CROSS-DEFENDANT AHEAD GROUP LLC'S NOTICE OF MOTION AND MOTION TO STRIKE PUNITIVE DAMAGES FROM INCITE INC.'S FIRST AMENDED CROSSCOMPLAINT [CRS NO. 022641014542]

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Case Number: 25STCV32517 Hearing Date: September 15, 2026 Dept: 731

SUPERIOR COURT OF THE
STATE OF CALIFORNIA

FOR THE COUNTY OF LOS
ANGELES - CENTRAL DISTRICT

GOLDEN RIGHTS LLC, a Delaware
Limited Liability Company; TAKASHI CHENG, an individual,

Plaintiffs,

vs.

INCITE INC., a California
Corporation; JENNER

FURST, an individual; and DOES
1 through 50,

inclusive,

Defendants.

Plaintiffs,

VS.

AHEAD GROUP, a Delaware limited liability company; TAKASHI CHENG, an individual; and GOLDEN RIGHTS, LLC, a Delaware limited liability company,

Defendants.

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CASE NO: 25STCV32517

[TENTATIVE] ORDER RE: CROSS-DEFENDANTS
GOLDEN RIGHTS LLC AND TAKASHI CHENG'S DEMURRER TO INCITE INC.'S FIRST AMENDED
CROSSCOMPLAINT [CRS NO. 357473767619]

[TENTATIVE] ORDER RE:
CROSS-DEFENDANTS GOLDEN RIGHTS LLC AND TAKASHI CHENG'S MOTION TO STRIKE
PUNITIVE DAMAGES FROM INCITE INC.'S FIRST AMENDED CROSS-COMPLAINT [CRS NO. 357473767619]

[TENTATIVE] ORDER RE: CROSS-DEFENDANT
AHEAD GROUP LLC'S DEMURRER TO INCITE'S FIRST AMENDED CROSS-COMPLAINT [CRS NO.
022641014542]

[TENTATIVE] ORDER RE: CROSS-DEFENDANT
AHEAD GROUP LLC'S NOTICE OF MOTION AND MOTION TO STRIKE PUNITIVE DAMAGES FROM
INCITE INC.'S FIRST AMENDED CROSSCOMPLAINT [CRS NO. 022641014542]

Dept. 731

September 15, 2026

8:30 a.m.

Matter No. 12

Moving Party: Cross-Defendants Golden Rights LLC and Takashi Cheng; Cross-Defendant,
Ahead Group LLC

Opposing Party: Cross-Complainant/Defendant, Incite, Inc.

Notice: OK

Background Facts

Pleadings

This action involves cross allegations of fraud, broken funding promises, and contract breaches after an \$8½million film-financing deal collapsed, leaving multiple sides claiming others lied about project status, financial ability, and compliance the loan agreements.

i. Plaintiffs'

Second Amended Complaint

Golden Rights LLC and Takashi Cheng

sue Incite Inc. and its CEO, Jenner Furst, pursuant to a July 2, 2026, Second Amended Complaint ("SAC") asserting claims for fraud and deceit, negligent misrepresentation, breach of written contract, unfair business practices under Business & Professions Code section 17200, accounting, and declaratory relief. Plaintiffs allege Incite induced them to provide financing of \$8 million by misrepresenting the status, completion, profitability, and distribution readiness of several media projects—including: Thank You, Dr. Fauci; Queen of the Hill; a Red Hot Chili Peppers documentary; and a Bruce Willis project. Plaintiffs allege Incite breached multiple obligations under various written instruments, including failing to meet conditions, failing to reimburse fees, failing to set up a required segregated account, and failing to provide accurate project information. Plaintiffs seek damages exceeding several million dollars, restitution, disgorgement, attorneys' fees, and declarations regarding the parties' rights under the parties' loan agreements.

ii. Plaintiff's

First Amended Cross-Complaint

In turn, Incite Inc., as Cross-Complainant, sues Ahead Group, Takashi "Bobby" Cheng, and Golden Rights LLC pursuant to a May 4, 2026, First Amended Cross-Complaint ("FACC"), alleging causes of action for fraud and deceit, negligent misrepresentation, breach of written contract, and unfair business practices under Business & Professions Code section 17200. Incite claims Cross-Defendants falsely represented that they possessed sufficient funds to complete the loan, failed to fund all required amounts, and engaged in deceptive practices during negotiations and closing. Incite seeks damages exceeding \$20 million, punitive damages, attorneys' fees, costs, and other relief.

Motions Before the
Court

Now before the Court are Golden
Rights and Takashia Cheng's opposed (1) demurrer to the first, second, and
fourth causes of action, and (2) motion to strike the prayer for punitive
damages from the FACC.

Also before the Court are Ahead
Group's identical and similarly opposed (1) demurrer to the first, second, and
fourth causes of action, and (2) motion to strike the prayer for punitive
damages from the FACC.

Demurrer, Golden
Rights and Takishi Cheng

Meet and Confer

The moving papers establish a
sufficient meet and confer process preceded the filing of Golden Rights and
Takashi Cheng's demurrer. (Demurrer, Fierro Decl., ¶¶ 5-8; see Code Civ. Proc.,
§ 430.41, subd. (a)(3)(A).)

b. Legal
Standard

A demurrer for sufficiency tests
whether the complaint states a cause of action. (Hahn v. Mirda (2007)
147 Cal.App.4th 740, 747; see Code Civ. Proc., § 430.10, subd. (e).)

To sufficiently allege a cause of
action, a complaint must allege all the ultimate facts—that is, the facts
needed to establish each element of the cause of action pleaded. (Committee
on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197,
212, superseded by statute as stated in Branick v. Downey Savings & Loan
Assn. (2006) 39 Cal.4th 235, 242.) "[E]ach evidentiary fact that might
eventually form part of the plaintiff's proof need not be alleged." (C.A. v.
William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.)

In testing the sufficiency of the

cause of action, the demurrer admits the truth of all material facts properly pleaded. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-67.) Courts read the allegations liberally and in context. (*Taylor v. City of Los Angeles Dept. of Water and Power* (2006) 144 Cal.App.4th 1216, 1228, disapproved on other grounds, *Jones v. Lodge at Torrey Pines Partnership* (2008) 42 Cal.4th 1158, 1162.) A demurrer, however, “does not admit contentions, deductions or conclusions of fact or law.” (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 695, 713.)

A demurrer may only be used to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*).) The face of the complaint includes exhibits attached to the complaint. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.) If facts appearing in the exhibits contradict those alleged, the facts in the exhibits take precedence. (*Holland v. Morse Diesel Intern., Inc.* (2001) 86 Cal.App.4th 1443, 1447, superseded by statute on other grounds as stated in *White v. Cridlebaugh* (2009) 178 Cal.App.4th 506, 521.)

Discussion

i. Demurrer,

First and Second Causes of Action, Fraud Claims

1. Cross-Defendant

Golden Rights LLC

After review, the Court finds in favor of Golden Rights.

A general demurrer for sufficiency may be sustained against duplicative claims. (*Palm Springs Villas II Homeowners Assn., Inc. v. Parth* (2016) 248 Cal.App.4th 268, 290 (“Palm Springs”) [“a cause of action for breach of governing documents [that] appear[ed] to be duplicative of [a] cause of action for breach of fiduciary duty” is “recognized ... as a basis for sustaining a demurrer”]; *Rodrigues v. Campbell Industries* (1978) 87 Cal.App.3d 494, 501 [finding demurrer was properly sustained without leave to amend as to cause of action that contained allegations of other causes and “thus add[ed] nothing to the complaint by way

of fact or theory of recovery”]; see also *Award Metals, Inc. v. Superior Court* (1991) 228 Cal.App.3d 1128, 1135, opn. mod. Apr. 10, 1991 [demurrer should have been sustained as to duplicative causes of action].)

In *Palm Springs*, the court of appeal found that “the cause of action [therein pleaded] for breach of governing documents appear[ed] to be duplicative of the cause of action for breach of fiduciary duty,” supporting a finding that “the trial court properly sustained [a] demurrer” to the breach of governing documents claim, particularly where “[t]he [the pleading party] d[id] not address [the demurring party’s] argument or explain how its document claim differ[ed] from the fiduciary breach claim.” (*Palm Springs*, supra, 248 Cal.App.4th at p. 290.) The specific factual allegations at issue in *Palm Springs* were a “cause of action for breach of fiduciary duty [that] alleged that [the demurring party] had breached her duties to comply with the governing documents and to avoid causing harm to the [pleading party] by, among other things, refusing to submit bids or contracts to the Board, ‘unilaterally terminating’ PPM, and signing the contract with Desert Protection,” while, in turn, the “[t]he breach of governing documents cause of action identified CC&R and bylaw provisions and identified actions taken by [the demurring party] in breach of these provisions, including the termination of PPM and entering into the Desert Protection contract.” (*Id.* at p. 277.)

Here, with language even more generalized than the language in *Palm Springs*—there sufficient to find duplicativeness in pleading—the FACC’s fraud claims and its breach of contract claim almost identically relate to Golden Rights’ alleged obligations and failure to fund Incite’s projects, resulting in damages in an amount not less than \$20 million, reflecting lost profits. (Compare FACC, ¶¶ 83-85, 88 & 90-92, 96, with *ibid.* at ¶¶ 98-101.)

Consistent with *Palm Springs*, the Court thus determines that the Complaint’s first and second causes of action are duplicative of the Complaint’s third cause of action, for which reason the Court SUSTAINS the demurrer to the FACC’s fraud claims, with leave to amend, as relates to Golden Rights LLC. (Code Civ. Proc., § 430.41, subd. (e)(1).)

2. Cross-Defendant
Takashi Cheng

In contrast, as argued in Incite's opposition (Opposition, p. 10), the duplicativeness argument fails as relates to Takashi Cheng, who is not a Defendant subject to the third cause of action for breach of contract (see FACC, ¶¶ 98-101).

Moreover, the Court determines that the FACC sufficiently alleges fraud claims against Takashi Cheng. Specifically, the FACC alleges that, in essence, Cheng promised funding as an investor with a successful background and relevant experience in the target field (FACC, ¶¶ 8-10, 13-15), who expressed interest in investing in Incite for 25% interest, thereafter signing a binding term sheet committing to \$8 million in financing (FACC, ¶¶ 17-19, 21, 23), where later conduct by Cheng and his companies showed Cross-Defendants did not in fact have availability to such funding, such as a changing from lender from Ahead Group to Golden Rights, initial funding coming from a third company owned by Cheng, Achievable Solutions, Golden Rights thereafter stalling further funding, and Cheng ultimately admitting he could only obtain more funding if film projects started to do well (see FACC, ¶¶ 26-27, 29-36, 49-50, 54, 57-63, 70-72), with Cheng striking first by issuing default notices against Incite (FACC, ¶ 65), all of which harmed Incite when Incite lost multiple major projects because Golden Rights could not fund its commitments and Incite was forced to terminated staff and faced potential Chapter 11 restructuring (FACC, ¶¶ 76-81). (See *Service by Medallion, Inc. v. Clorox Co.* (1996) 44 Cal.App.4th 1807, 1816 [Intentional misrepresentation involves "(1) a knowingly false representation by the defendant; (2) an intent to deceive or induce reliance; (3) justifiable reliance by the plaintiff; and (4) resulting damages"]; *B.L.M. v. Sabo & Deitsch* (1997) 55 Cal.App.4th 823, 834 [Negligent misrepresentation involves (1) an assertion, as a fact, of that which is not true, (2) by one who has no reasonable ground for believing it to be true, (3) made with intent to induce the recipient to alter his position to his injury or his risk, (4) with justifiable reliance on the representation, and (5) resulting damage].)

Last, the Court determines that the economic loss rule does not bar this claim for pleading purposes as against Cross-Defendant Cheng. The economic loss rule does not bar claims for fraudulently inducing entry into a contract. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 841; cf. *Rattagan v. Uber Techs. Inc.* (2024) 17 Cal.5th 1, 42 [discussing economic loss rule in context of applicability during performance of a contract].)

ii. Demurrer,

Fourth Cause of Action, Business and Professions Claim

Last, and for reasons largely not

briefed by the parties, the Court OVERRULES the demurrer as to the FACC's fourth cause of action.

To state a cause of action for

unfair business practices, a plaintiff must establish defendant engaged in an "unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising." (Bus. & Prof. Code, § 17200.) A breach of contract in turn may form the predicate for a UCL claim, "provided it also constitutes conduct that is "unlawful, or unfair, or fraudulent." [Citations.]" (Puentes v. Wells Fargo Home Mortgage, Inc. (2008) 160 Cal.App.4th 638, 645.) Unfair practices with the meaning of this claim "mean[] conduct that threatens an incipient violation of [a] law[] or violates the policy or spirit of one of those laws because its effects are comparable to or the same as a violation of the law, or otherwise significantly threatens or harms competition." (Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co. (1999) 20 Cal.4th 163, 187.)

Here, as relates to Golden Rights, though

the parties' papers chiefly focus on whether the FACC sufficiently alleges unlawful practices via fraud, the Court is satisfied that the FACC's third cause of action provides a sufficient basis to support a derivative UCL claim, as reflected in the fourth cause of action, where a threat to competition is alleged in the FACC. (See, e.g., FACC, ¶¶ 16 [Incite in good financial condition before entering agreement with Cheng], 18 [Incite needed agreement to move quickly as other conversations for funding were taking place and funding was needed in 30 days], 43 [Incite becomes distressed asset as result of Cross-Defendants' conduct].)

As relates to Takashi Cheng, the

fraud claims remain viable and thus support a UCL Claim.

d. Conclusion

Cross-Defendant Golden Rights LLC

and Takashi Cheng's demurrer [CRS NO. 357473767619] is accordingly:

(1) SUSTAINED, with leave to amend,
as to the FACC's first and second causes of action, as alleged against Golden Rights LLC;

(2) OVERRULED as to the FACC's
second cause of action, as alleged against Takashi Cheng; and

(3) OVERRULED as to the FACC's
fourth cause of action, as alleged against both Golden Rights LLC and Takashi Cheng.

Motion to Strike,
Golden Rights LLC and Takashi Cheng

Meet and Confer

The moving papers establish a
sufficient meet and confer process preceded the filing of Golden Rights and Takashi Cheng's motion to strike. (See Demurrer, Fierro Decl., ¶¶ 5-8; see Code Civ. Proc., § 435.5, subd. (a)(3)(A).)

b. Legal
Standard

The court may, upon a motion or at
any time in its discretion and upon terms it deems proper: (a) strike out any irrelevant, false, or improper matter inserted in any pleading; or (b) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc. § 436, subds. (a), (b); *Stafford v. Shultz* (1954) 42 Cal.2d 767, 782 ["Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded"].)

For the purposes of a motion to
strike pursuant to Sections 435 to 437 of the Code of Civil Procedure, the term "pleading" generally means a demurrer, answer, complaint, or cross-complaint, (Code Civ. Proc., § 435, subd. (a)), and an immaterial allegation or irrelevant matter in a pleading entails (1) an allegation that is not essential to the statement of a claim or defense, (2) an allegation that is neither pertinent to

nor supported by an otherwise sufficient claim or defense, or (3) a demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint (Code Civ. Proc., § 431.10, subds. (b)(1)-(3), (c)).

Discussion

After review, the Court finds in favor of Golden Rights LLC but against Takashi Cheng.

Tort liability is a necessary predicate for punitive damages, where punitive damages may not be awarded as relief in a breach of contract claim. (Civ.Code, § 3294, subd. (a); Applied Equipment Corp. v. Litton Saudi Arabia Ltd. (1994) 7 Cal.4th 503, 516; Cyrus v. Haveson (1976) 65 Cal.App.3d 306, 316.)

Here, having sustained Golden Rights' demurrer to the FACC's fraud claims, the only remaining viable claims alleged in the FACC against Golden Rights are the breach of contract claim and its derivative UCL claim, which cannot support punitive damages per the above authority.

However, because the fraud claims remain viable against Takashi Cheng, punitive damages remain generally available, and here, the Court adopts its above discussion relating to the fraud claims and Takashi Cheng to determine that sufficient grounds exist in the FACC to pray for punitive damages against Takashi Cheng based on, at the very least, fraudulent misrepresentations.

d. Conclusion

Cross-Defendants Golden Rights LLC and Takashi Cheng's motion to strike [CRS NO. 357473767619] is accordingly:

(1) GRANTED, with leave to amend, as to Cross-Defendant Golden Rights LLC; and

(2) DENIED as to Cross-Defendant Takashi Cheng.

Demurrer, Ahead

Group

Meet and Confer

The moving papers establish a sufficient meet and confer process preceded the filing of Ahead Group's demurrer. (Demurrer, Fierro Decl., ¶¶ 5-8; see Code Civ. Proc., § 430.41, subd. (a)(3)(A).)

b. Legal
Standard

See section 2.b. ante.

c. Discussion

i. Demurrer,
First and Second Causes of Action, Fraud Claims

Defendant Ahead Group demurs to the FACC's fraud claims based on identical arguments to those advanced by Golden Rights LLC and Takashi Cheng.

After review, the Court finds in favor of Incite.

As relates to the duplicativeness argument (fraud claims are duplicative of breach of contract claim), the argument fails for the same reason as it did with Takashi Cheng: Ahead Group is not a Defendant to the third cause of action for breach of contract, for which reason there is no duplication with the first and second cause of action.

As relates to sufficiency of pleading, the FACC alleges that Takashi Cheng signed the parties' financing agreement "on behalf of 'Ahead Group,' the film fund he claimed to operate." (FACC, ¶ 23.) Consequently, although it nowhere specifically alleges agency, alter ego, joint enterprise, or other vehicles for joint liability, the FACC in essence alleges that Takashi Cheng undertook his actions as an agent of Ahead Group. Logically, the sufficiency of pleading in the fraud claims as relates to Takashi Cheng therefore carries over to Ahead Group through paragraph 23 of the

FACC.

Last, the Court rejects the economic loss rule arguments as discussed in section 2.c.i.2. ante.

ii. Demurrer,
Fourth Cause of Action, Business and Professions Claim

The Court OVERRULES Ahead Group's demurrer to the fourth cause of action based on the reasoning in section 2.c.ii. ante vis-à-vis the FACC's breach of contract claim.

d. Conclusion

Cross-Defendant Ahead Group LLC's demurrer [CRS NO. 022641014542] is accordingly OVERRULED.

Motion to Strike,
Ahead Group

Meet and Confer

The moving papers establish a sufficient meet and confer process preceded the filing of Ahead Group's motion to strike. (See Demurrer, Fierro Decl., ¶¶ 5-8; see Code Civ. Proc., § 435.5, subd. (a)(3)(A).)

b. Legal
Standard

See section 3.b. ante.

Discussion

The Court OVERRULES Ahead Group's motion to strike punitive damages prayers against it based on the reasoning in section 3.c. ante vis-à-vis statement of punitive damages against Takashi Cheng, where Cheng's conduct can be tied to Ahead Group for pleading purposes. (FACC, ¶ 23.)

Conclusion

Cross-Defendant Ahead Group LLC's
motion to strike [CRS NO. 022641014542] is accordingly DENIED.

Plaintiff may file an amended
pleading responding to this Order within 10 days of notice of this order or
waiver of notice.

Cross-Defendants in full are
ordered to give notice.

Parties who intend to submit
on this tentative must send an email to the court at smcdept731@lacourt.org indicating intention to submit on the tentative
as directed by the instructions provided on the court website at www.lacourt.org. If
the department does not receive an email indicating the parties are submitting
on the tentative and there are no appearances at the hearing, the motion may be
placed off calendar. If a party
submits on the tentative, the party's email must include the case number and
must identify the party submitting on the tentative. If the parties do not submit on the
tentative, they should arrange to appear remotely.

DATED: September 15, 2026 _____

MARK C. KIM

Judge of the
Superior Court